

6-1a The Key Word Is D

International investment can be made primarily in two ways: FDI and foreign portfolio investment (FPI) (Investment in a portfolio of foreign securities such as stocks and bonds.)

. FPI refers to investment in a portfolio of foreign securities, such as stocks and bonds, that do not entail the active management of foreign assets. Essentially, FPI is “foreign *indirect* investment.” In contrast, the key word in FDI is *D* (*direct*)—the direct hands-on management of foreign assets. While reading this book, some of you may have some FPI at the same time—that is, you own some foreign stocks and bonds. However, as a student taking this course, it is by definition impossible that you are also engaging in FDI at the same time, which requires you to be a manager getting your feet “wet” by actively managing foreign operations.

For statistical purposes, the United Nations defines FDI as an equity stake of 10% or more in a foreign-based enterprise. Without a sufficiently large equity, it is difficult to exercise management control rights (The right to appoint key managers and establish control mechanisms.)

—namely, the rights to appoint key managers and establish control mechanisms. Many firms invest abroad for the explicit purpose of managing foreign operations, and they need a large equity (sometimes up to 100%) to be able to do that.